23SMCV04856 23SMCV04856

County: los-angeles

Division: Civil Law and Motion

Department: 207

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TENTATIVE
RULING

DEPARTMENT

207

HEARING DATE

July
29, 2026

CASE NUMBER

23SMCV04856

MOTIONS

Motions
to Tax Costs

MOVING PARTIES

(1)
Defendant Ara Petrosyan

(2)
Plaintiffs Daniel Eisenberg and Martha Bailey

OPPOSING PARTIES

(1)
Plaintiffs Daniel Eisenberg and Martha Bailey

(2)
Defendant Arya Petrosyan

MOTION

This case arises from allegations that the installation of solar panels caused roof leaks.

Plaintiffs Daniel Eisenbeg and Martha Bailey ("Plaintiffs") originally filed suit on October 16, 2025. The operative Second Amended Complaint ("SAC") alleges five causes of action for (1) breach of express warranty; (2) negligence; (3) breach of contract; (4) fraud; and (5) breach of contract against surety against Defendants LA Solar Group, Inc., dba AP Electrical System ("LA Solar"); Ara Petrosyan ("Petrosyan"); and Merchants Bonding Company (Mutual) ("Merchants"). The first four causes of action are brought against all Defendants except Merchants, and the fifth cause of action is brought only against Merchants.

On June 6, 2024, Merchants filed a verified cross-complaint against Plaintiffs, Defendants, and John Fontanini ("Fontanini"), for declaratory relief and interpleader for the $25,000 contractor's bond for LA Solar. On January 7, 2025, Merchants requested dismissal of John Fontanini without prejudice, which was entered on January 8, 2025.

On May 28, 2025 the Court granted Merchants' unopposed motion to discharge it as stakeholder, and on June 5, 2025, Merchants dismissed its Cross-Complaint and filed a notice of depositing interpleader funds.

Following a 5-day non-jury trial, the Court ordered judgment entered in favor of Plaintiffs and against LA Solar in the amount of $92,607.00. As to Petrosyan, judgment was entered in Petrosyan's favor on all claims asserted

against him. The judgment expressly states,
“Plaintiffs are the prevailing parties regarding the claims against Defendant LA Solar Group, Inc. and may recover costs of suit according to applicable law.”

On June 17, 2026, Plaintiffs filed a memorandum of costs in the amount of $12,382.11

On June 18, 2026, Petrosyan filed a memorandum of costs in the amount of $11,683.69.

Plaintiffs move to tax Petrosyan’s memorandum of costs, which Petrosyan opposes, and to which Plaintiffs reply.

Petrosyan also moves to tax Plaintiffs’ memorandum of costs, which Plaintiffs oppose.

EVIDENTIARY OBJECTIONS

The Court rules as follows with respect to Plaintiffs’ evidentiary objections to the Melkonian Declaration advanced in support of Petrosyan’s opposition to Plaintiffs’ Motion:

1.
Overruled

2.
Overruled

3.
Sustained

4.
Overruled

5.
Overruled

6.

Overruled

7.
Overruled

8.
Overruled

9.
Overruled

10. Moot
– Plaintiffs state “Plaintiffs do not object”

11. Overruled

12. Overruled

13. Overruled

LEGAL
STANDARDS

“Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding.” (Code Civ. Proc., § 1032, subd. (b).) Further, the Song-Beverly Act permits a buyer who prevails in an action to recover costs. (Code Civ. Proc., § 1794, subd. (d).)

Code of Civil Procedure section 1033.5, subdivision (a) sets forth items that are allowable as costs. Allowable costs under Section 1033.5 must be “reasonably necessary to the conduct of this litigation rather than merely convenient or beneficial to its preparation” and “reasonable in amount.” (Code Civ. Proc., § 1033.5, subd. (c)(2)-(3).) “Items not mentioned in [Section 1033.5] and items assessed upon application may be allowed or denied in the court’s discretion.” (Id. at subd. (c)(4).)

On a motion to tax, “[i]f the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs. Whether a cost item was reasonably necessary to the litigation presents a question of fact for the trial court and its decision is reviewed for abuse of discretion. However, because the right to costs is governed strictly by statute a court has no discretion to award costs not statutorily authorized." (Ladas v. California State Auto. Assn. (1993) 19 Cal.App.4th 761, 774, internal citations omitted.)

"The court's first determination, therefore, is whether the statute expressly allows the item, and whether it appears proper on its face. If so, the burden is on the objecting party to show them to be unnecessary or unreasonable." (Nelson v. Anderson (1999) 72 Cal.App.4th 111, 131, internal citations omitted.) The objecting party does not meet this burden by arguing that the costs were not necessary or reasonable, but must present evidence and prove that the costs are not recoverable. (Litt v. Eisenhower Med. Ctr. (2015) 237 Cal.App.4th 1217, 1224; Seever v. Copley Press, Inc. (2006) 141 Cal.App.4th 1550, 1557.)

ANALYSIS

1. Plaintiffs' Memorandum of Costs

Petrosyan moves to strike all costs asserted as to him on the grounds that as between himself and Plaintiffs, he is the prevailing party.

In opposition, Plaintiffs concede that they do not seek to recoup any costs as to him, consistent with the judgment's statement that they may recoup costs only as to LA Solar.

Therefore, the Court grants Petrosyan's motion and taxes Plaintiffs' memorandum of costs as to Petrosyan only in its entirety.

2. Petrosyan's Memorandum of Costs

Petrosyan seeks costs in the amount of $11,683.69, comprised of the following:

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Filing and motion fees: $782.37

.

Deposition costs: $3,587.70

.

Court-ordered transcripts: $6,335.12

.

Models, enlargements, and photocopies of exhibits: $978.50.

Plaintiffs seek to tax or reduce all of Petrosyan's claimed costs on the ground that they were incurred not to defend against the alter ego and fraud theories asserted against him individually, but in defending LA Solar Group generally.

Notably, Plaintiffs point out that the $782.37 in filing and motion fees were incurred in connection with two demurrers and motions to strike that were filed on behalf of both Defendants Petrosyan and LA Solar, and as such, these costs must be allocated between them.

Further, Plaintiffs argue that the depositions taken in this case related wholly to LA Solar. Specifically,
Plaintiffs' expert testified about the defective installation, roof leaks, causation, repairs, and damages – issues affecting LA Solar's direct liability, not Petrosyan's alter ego or fraud liability.
Moreover, Plaintiffs argue that Petrosyan was deposed primarily in his capacity as LA Solar's person most knowledgeable, not in his individual capacity.

Further, Plaintiffs challenge the $6,335.12 incurred for "court-ordered transcripts" on the ground that no such costs were incurred, as the Court encouraged the parties to retain a court reporter for trial to ensure an accurate record, of which Defendants have failed to pay any portion.

Further, Plaintiffs challenge the $978.50 incurred to copy exhibits on the ground that they were overwhelmingly incurred to prepare evidence pertaining to LA Solar's liability and Plaintiff's damages, not Petrosyan's alter ego or fraud defenses.

"A prevailing party is entitled to recover only those costs actually incurred by that party or on that party's behalf in prosecuting or defending the action. When a prevailing party has incurred costs jointly with one or more other parties who are not prevailing parties for purposes of an award of costs, the judge must apportion the costs between the parties." (Wakefield v. Bohlin (2006) 145 Cal.App.4th 963, 986 (hereafter Wakefield).)

"A prevailing party who is represented by the same counsel as a nonprevailing party may only recover those costs the prevailing party incurred and were reasonably necessary to the prevailing party's conduct of the litigation, not the other jointly represented parties' conduct of the litigation." (Charton v. Harkey (2016) 247 Cal.App.4th 730, 744.) Moreover, "[w]hether to award costs that were incurred by both the prevailing party and the nonprevailing party, and were reasonably necessary to the conduct of the litigation for both the prevailing and nonprevailing party, is left to the trial court's sound discretion based on the totality of the circumstances" (Ibid.)

For example, in Slavin v. Fink (1994) 25 Cal.App.4th 722, the plaintiff contractor prevailed at trial against the property owner Borinstein but lost against her agent Fink. Although Fink was the prevailing defendant, the court taxed his costs, explaining: "Fink has claimed the same costs as could have been claimed by […] Borinstein, had she been a prevailing party in the case" and "Fink became entitled to judgment in his favor by the mere failure of [plaintiff] Slavin to present any evidence in support of a judgment against him personally." (Id. at pp. 724-725.) Under those circumstances, the appellate court noted: "It would have been unjust to allow appellant to impose upon respondent all costs incurred which benefitted both appellant and Borinstein." (Id. at p. 726.)

Similarly, in Wakefield, supra, 145 Cal.App.4th 963, a home buyer brought action against a husband and wife as sellers of the home. As to the fraud claim, a jury returned verdict in favor of both husband and wife, but as to the negligent misrepresentation claim, the jury exonerated only the wife, and found against the husband and in favor of the buyer.
The court awarded the home buyer's costs in full as to both the husband

and the wife, concluding “[s]ince Wakefield is the prevailing buyer [] Charlotte Bohlin cannot be” because “the Bohlins are united in interest in this litigation[.]”

At a minimum, because both prevailing Defendant Petrosyan and non-prevailing Defendant LA Solar were represented by the same counsel, and jointly filed the same motions, and jointly incurred the same expenses to the litigation, the costs should be reduced by at least half, representing Petrosyan’s pro rata share of the costs incurred.

However, like a husband and wife, who have united interests in litigation as against the buyer of their home, so too do Petrosyan and LA Solar have united interests, as principal of the entity against whom Plaintiffs have asserted their claims under a theory of alter ego liability. Moreover, like plaintiff Slavin who was overall successful in the litigation, except as to establishing personal liability against defendant Borinstein’s agent, Fink, here, too, Plaintiffs were overall the prevailing parties in this litigation, failing only to establish personal liability as to LA Solar’s principal, Petrosyan.

This unity of interests is further bolstered by the fact that the same counsel represented both Petrosyan and LA Solar, suggesting that LA Solar was likely paying the costs of the defense.

Indeed, the Melkonian Declaration confirms this: “Throughout this litigation, I efficiently represented both defendants through unified defense.” (Melkonian Decl. ¶ 11.)

Had Petrosyan incurred specific, additional costs that were unique to his own defense, that LA Solar would not otherwise have incurred, those costs might be reasonably recoupable. But Petrosyan has not identified any such costs uniquely attributable to him.[1] As such, the practical effect of awarding Petrosyan any of his claimed costs, all of which appear to have been jointly incurred by both Petrosyan and LA Solar, would be to reduce/defray LA Solar’s obligation to pay Plaintiffs’ costs.
That would be unjust.

Therefore, the Court finds that Petrosyan is not entitled to recoup his claimed costs.

CONCLUSION

For the foregoing reasons, the Court grants Petrosyan's motion to tax Plaintiffs' memorandum of costs as to him in his individual capacity. As such, Plaintiffs are still entitled to their requested $12,382.11 in costs, as they have not been challenged by any other party, but Petrosyan is not jointly liable for such costs in his personal capacity.

Further, the Court grants Plaintiffs' motion to tax Petrosyan's claimed costs in their entirety. Although Petrosyan prevailed in avoiding personal liability, he has not demonstrated he is entitled to recoup any of the requested costs against Plaintiffs.

Plaintiffs shall provide notice of the Court's ruling and file the notice with a proof of service forthwith.

DATED: July 29, 2026 _____/s/______________________

Michael E. Whitaker

Judge of the Superior Court

[1] Although the Melkonian Declaration states, "The $435 filing fee included in these costs was incurred exclusively for Defendant Petrosyan" the Court does not understand how that can possibly be, as Petrosyan and LA Solar jointly filed two demurrers and two answers, and neither sought, nor was awarded a fee waiver. (See Melkonian Decl. ¶ 5.)